

PROMETHEUS UNBOUND: THE RISE OF THE SOVEREIGN INDIVIDUAL

The coming transformation is both good news and bad. The good news is that the Information Revolution will liberate individuals as never before. For the first time, those who can educate themselves will be almost entirely free to invent their own work and realize the full benefits of their own productivity. Genius will be unleashed, freed from both the oppression of government and the drags of racial and ethnic prejudice. In the Information Society, no one who is truly able will be detained by the ill-formed opinions of others. It will not matter what most of the people on earth might think of your race, your looks, your age, your sexual proclivities, or the way you wear your hair.

In the cybereconomy, they will never see you. The ugly, the fat, the old, the disabled will vie with the young and beautiful on equal terms in utterly color-blind anonymity on the new frontiers of cyberspace.

Ideas Become Wealth

Merit, wherever it arises, will be rewarded as never before. In an environment where the greatest source of wealth will be the ideas you have in your head rather than physical capital alone, anyone who thinks clearly will potentially be rich. The Information Age will be the age of upward mobility. It will afford far more equal opportunity for the billions of humans in parts of the world that never shared fully in the 4

prosperity of industrial society. The brightest, most successful and ambitious of these will emerge as truly Sovereign Individuals.

At the highest plateau of productivity, these Sovereign Individuals will compete and interact on terms that echo the relations among the gods in Greek myth. The elusive Mount Olympus of the next millennium will be in cyberspace—a realm without physical existence that will nonetheless develop what promises to be the world's largest economy by the second decade of the new millennium. By 2025, the cybereconomy will have many millions of participants. Some of them will be as rich as Bill Gates, worth over \$10 billion each. The cyberpoor may be those with an income of less than \$200,000 a year. There will be no cyberwelfare. No cybertaxes and no cybergovernment. The cybereconomy, rather than China, could well be the greatest economic phenomenon of the next thirty years.

The good news is that politicians will no more be able to dominate, suppress, and regulate the greater part of commerce in this new realm than the legislators of the ancient Greek city-states could have trimmed the beard of Zeus. The liberation of a large part of the global economy from political control will oblige all remaining forms of government to operate on more nearly market terms. They will ultimately have little choice but to treat populations in territories they serve more like customers, and less in the way that organized criminals treat the victims of a shakedown racket.

Alt.Abracadabra

The "abracadabra" of the magic invocation, for example, bears a curious similarity to the password employed to access a computer. In some respects, high-speed computation has already made it possible to mimic the magic of the genie. Early generations of "digital servants" already obey the commands of those who control the computers in which they are sealed much as genies were sealed in magic lamps. The virtual reality of information technology will widen the realm of human wishes to make almost anything that can be imagined seem real. Telepresence will give living individuals the same capacity to span distance at supernatural speed and monitor events from afar that the Greeks supposed was enjoyed by Hermes and Apollo. The Sovereign Individuals of the Information Age, like the gods of ancient and primitive myths, will in due course enjoy a kind of "diplomatic immunity" from most of the political woes that have beset mortal human beings in most times and places.

The new Sovereign Individual will operate like the gods of myth in the same physical environment as the ordinary, subject citizen, but in a separate realm politically.

Commanding vastly greater resources and beyond the reach of many forms of compulsion, the Sovereign Individual will redesign governments and reconfigure economies in the new millennium. The full implications of this change are all but unimaginable.

Genius and Nemesis

For anyone who loves human aspiration and success, the Information Age will provide a bounty. That is surely the

best news in many generations. But it is bad news as well, The new organization of society implied by the triumph of individual autonomy and the true equalization of opportunity based upon merit will lead to very great rewards for merit and great individual autonomy. This will leave individuals far more responsible for themselves than they have been accustomed to being during the industrial period. It will also reduce the unearned advantage in living standards that has been enjoyed by residents of advanced industrial societies throughout the twentieth century. As we write, the top 15 percent of the world's population have an average per-capita income of \$21,000 annually. The remaining 85 percent of the world have an average income of just \$1,000. That huge, hoarded advantage from the past is bound to dissipate under the new conditions of the Information Age.

As it does, the capacity of nationstates to redistribute income on a large scale will collapse. Information technology facilitates dramatically increased competition between jurisdictions. When technology is mobile, and transactions occur in cyberspace, as they increasingly will do, governments will no longer be able to charge more for their services than they are worth to the people who pay for them. Anyone with a portable computer and a satellite link will be able to conduct almost any information business anywhere, and that includes almost the whole of the world's multitrillion dollar financial transactions.

This means that you will no longer be obliged to live in a high-tax jurisdiction in order to earn high income. In the future, when most wealth can be earned anywhere, and even spent anywhere, governments that attempt to charge too much as the price of domicile will merely drive away their best customers. The nation-state as we know it will not

survive in anything like its present form.

THE END OF NATIONS

Changes that diminish the power of predominant institutions are both unsettling and dangerous. Just as monarchs, lords, popes, and potentates fought ruthlessly to preserve their accustomed privileges in the early stages of the modern period, so today's governments will employ violence, often of a covert and arbitrary kind, in the attempt to hold back the clock. Weakened by the challenge from technology, the state will treat increasingly autonomous individuals, its former citizens, with the same range of ruthlessness and diplomacy it has heretofore displayed in its dealing with other governments. Increasingly harsh techniques of exaction will be a logical corollary of the emergence of a new type of bargaining between governments and individuals.

Technology will make individuals more nearly sovereign than ever before. And they will be treated that way. Sometimes violently, as enemies, sometimes as equal parties in negotiation, sometimes as allies. But however ruthlessly governments behave, particularly in the transition period, wedding the IRS with the CIA will avail them little.

We believe that as the modern nationstate decomposes, latter-day barbarians will increasingly come to exercise power behind the scenes. Groups like the Russian mafiya, which picks the bones of the former Soviet Union, other

ethnic criminal gangs, nomenklaturas*, drug lords, and renegade covert agencies will be laws unto themselves.

They already are. Far more than is widely understood, the modem barbarians have already infiltrated the forms of the nationstate without greatly changing its appearances.

They are microparasites feeding on a dying system. As violent and unscrupulous as a state at war, these groups employ the techniques of the state on a smaller scale. Their growing influence and power are part of the downsizing of politics. Microprocessing reduces the size that groups must attain in order to be effective in the use and control of violence. As this technological revolution unfolds, predatory violence will be organized more and more outside of central control. Efforts to contain violence will also devolve in ways that depend more upon efficiency than magnitude of power.

History in Reverse

The process by which the nation state grew over the past five centuries will be put into reverse by the new logic of the Information Age. Local centers of power will reassert themselves as the state devolves into fragmented, overlapping sovereignties.

The growing power of organized crime is merely one reflection of this tendency. Multinational companies are already having to subcontract all but essential work. Some conglomerates, such as AT&T, Unisys, and ITT, have split themselves into several firms in order to function

more profitably. The nationstate will devolve like an unwieldy conglomerate.

Not only is power in the world changing, but the work of the world is changing as well. Microprocessing has created entirely new horizons of economic activity that transcend territorial boundaries. This transcendence of frontiers and territories is perhaps the most revolutionary development since Adam and Eve straggled out of paradise under the sentence of their Maker: "In the sweat of thy face shalt thou eat bread. "As technology revolutionizes the tools we use, it also antiquates our laws, reshapes our morals, and alters our perceptions.

Microprocessing and rapidly improving communications already make it possible for the individual to choose where to work. Transactions on the Internet or the World Wide Web can be encrypted and will soon be almost impossible for tax collectors to capture. Tax-free money already compounds far faster offshore than onshore funds still subject to the high tax burden imposed by the twentieth century nationstate. After the turn of the millennium, much of the world's commerce will migrate into the new realm of cyberspace, a region where governments will have no more dominion than they exercise over the bottom of the sea or the outer planets. In cyberspace, the threats of physical violence that have been the alpha and omega of politics since time immemorial will vanish. In cyberspace, the meek and the mighty will meet on equal terms. Cyberspace is the ultimate offshore jurisdiction. An economy with no taxes. Bermuda in the sky with diamonds.

When this greatest tax haven of them all is fully open for business, all funds will essentially be offshore funds at the discretion of their owner. This will have cascading

consequences. The state has grown used to treating its taxpayers as a farmer treats his cows, keeping them in a field to be milked. Soon, the cows will have wings.

The Revenge of Nations

Like an angry farmer, the state will no doubt take desperate measures at first to tether and hobble its escaping herd. It will employ covert and even violent means to restrict access to liberating technologies. Such expedients will work only temporarily, if at all. The twentieth-century nationstate, with all its pretensions, will starve to death as its tax revenues decline.

When the state finds itself unable to meet its committed expenditure by raising tax revenues, it will resort to other, more desperate measures. Among them is printing money. Governments have grown used to enjoying a monopoly over currency that they could depreciate at will. This arbitrary inflation has been a prominent feature of the monetary policy of all twentieth-century states. Even the best national currency of the postwar period, the German mark, lost 71 percent of its value from January 1, 1949, through the end of June 1995. In the same period, the U.S. dollar lost 84 percent of its value.⁶ This inflation had the same effect as a tax on all who hold the currency. As we explore later, inflation as revenue option will be largely foreclosed by the emergence of cybermoney. New technologies will allow the holders of wealth to bypass the national monopolies that have issued and regulated money in the modern period. The state will continue to control the industrial-era printing presses, but their importance for controlling the world's wealth will be transcended by mathematical algorithms that have

no physical existence. In the new millennium, cybermoney controlled by private markets will supersede fiat money issued by governments. Only the poor will be victims of inflation.

Lacking their accustomed scope to tax and inflate, governments, even in traditionally civil countries, will turn nasty. As income tax becomes uncollectable, older and more arbitrary methods of exaction will resurface. The ultimate form of withholding tax--de facto or even overt hostage-taking will be introduced by governments desperate to prevent wealth from escaping beyond their reach. Unlucky individuals will find themselves singled out and held to ransom in an almost medieval fashion. Businesses that offer services that facilitate the realization of autonomy by individuals will be subject to infiltration, sabotage, and disruption. Arbitrary forfeiture of property, already commonplace in the United States, where it occurs five thousand times a week, will become even more pervasive. Governments will violate human rights, censor the free flow of information, sabotage useful technologies, and worse. For the same reasons that the late, departed Soviet Union tried in vain to suppress access to personal computers and Xerox machines, western governments will seek to suppress the cybereconomy by totalitarian means.

RETURN OF THE LUDDITES

Such methods may prove popular among some population segments. The good news about individual liberation and autonomy will seem to be bad news to many who are not among the cognitive elite. The greatest resentment is likely to be centered among those of middle talent in

currently rich countries. They particularly may come to feel that information technology poses a threat to their way of life. The beneficiaries of organized compulsion, including millions receiving income redistributed by governments, may resent the new freedom realized by Sovereign Individuals. Their upset will illustrate the truism that "where you stand is determined by where you sit."

It would be misleading, however, to attribute all the bad feelings that will be generated in the coming transition crisis to the bald desire to live at someone else's expense. More will be involved. The very character of human society suggests that there is bound to be a misguided moral dimension to the coming Luddite reaction. Think of it as a bald desire fitted with a moral toupee. We explore the moral and moralistic dimensions of the transition crisis. Self-interested grasping of a conscious kind has far less power to motivate actions than does self-righteous fury. While adherence to the civic myths of the twentieth century is rapidly falling away, they are not without their true believers. Everyone who came of age in the twentieth century has been inculcated in the duties and obligations of the twentieth century citizen. The residual moral imperatives from industrial society will stimulate at least some neo-Luddite attacks on information technologies.

In this sense, this violence to come will be at least partially an expression of what we call "moral anachronism," the application of moral strictures drawn from one stage of economic life to the circumstances of another. Every stage of society requires its own moral rules to help individuals overcome incentive traps peculiar to the choices they face in that particular way of life. Just as a farming society could not live by the moral

rules of a migratory Eskimo band, so the Information Society cannot satisfy moral imperatives that emerged to facilitate the success of a militant twentieth-century industrial state.

Moral anachronism will be in evidence at the core countries of the West in much the way that it has been witnessed at the periphery over the past five centuries. Western colonists and military expeditions stimulated such crises when they encountered indigenous hunting-and-gathering bands, as well as peoples whose societies were still organized for farming. The introduction of new technologies into anachronistic settings caused confusion and moral crises. The success of Christian missionaries in converting millions of indigenous peoples can be laid in large measure to the local crises caused by the sudden introduction of new power arrangements from the outside. Such encounters recurred over and over, from the sixteenth century through the early decades of the twentieth century. We expect similar clashes early in the new millennium as Information Societies supplant those organized along industrial lines.

The Nostalgia for Compulsion

The rise of the Sovereign Individual will not be wholly welcomed as a promising new phase of history, even among those who benefit from it most. Everyone will feel some misgivings. And many will despise innovations that undermine the territorial nationstate. It is a fact of human nature that radical change of any kind is almost always seen as a dramatic turn for the worse. Five hundred years ago, the courtiers gathered around the duke of

Burgundy would have said that unfolding innovations that undermined feudalism were evil. They thought the world was rapidly spiraling downhill at the very time that later historians saw an explosion of human potential in the Renaissance. Likewise, what may someday be seen as a new Renaissance from the perspective of the next millennium will look frightening to tired twentieth century eyes.

There is a high probability that some who are offended by the new ways as well as many who are disadvantaged by them, will react unpleasantly. Their nostalgia for compulsion will probably turn violent. Encounters with these new "Luddites" will make the transition to radical new forms of social organization at least a measure of bad news for everyone.

Get ready to duck

With the speed of change outracing the moral and economic capacity of many in living generations to adapt, you can expect to see a fierce and indignant resistance to the Information Revolution, notwithstanding its great promise to liberate the future.

You must understand and prepare for such unpleasantness. A transition crisis lies ahead. The new information and communication technologies are more subversive of the modern state than any political threat to its predominance since Columbus sailed. This is important because those in power have seldom reacted peacefully to developments that undermined their authority. They are not likely to now.

The clash between the new and the old will shape the early years of the new millennium. We expect it to be a time of

great danger and great reward and a time of much diminished civility in some realms and unprecedented scope in others.

Increasingly autonomous individuals and bankrupt, desperate governments will confront one another across a new divide. We expect to see a radical restructuring of the nature of sovereignty and the virtual death of politics before the transition is over. Instead of state domination and control of resources, you are destined to see the privatization of almost all services governments now provide. For inescapable reasons that we explore at length in this book, information technology will destroy the capacity of the state to charge more for its services than they are worth to the people who pay for them.

Sovereignty Through Markets

To an extent that few would have imagined only a decade ago, individuals will achieve increasing autonomy over territorial nationstates through market mechanisms.

All nationstates face bankruptcy and the rapid erosion of their authority. Mighty as they are, the power they retain is the power to obliterate, not to command. Their intercontinental missiles and aircraft carriers are already artifacts, as imposing and useless as the last warhorse of feudalism.

Information technology makes possible a dramatic extension of markets by altering the way that assets are created and protected. This is revolutionary indeed, it

promises to be more revolutionary for industrial society than the advent of gunpowder proved to be for feudal agriculture. The transformation of the year 2000 implies the 11

commercialization of sovereignty and the death of politics, no less than guns implied the demise of oath-based feudalism. Citizenship will go the way of chivalry.

We believe that the age of individual economic sovereignty is coming. Just as steel mills, telephone companies, mines, and railways that were once "nationalized" have been rapidly privatized throughout the world, you will soon see the ultimate form of privatization--the sweeping denationalization of the individual. The Sovereign Individual of the new millennium will no longer be an asset of the state, a de facto item on the treasury's balance sheet. After the transition of the year 2000, denationalized citizens will no longer be citizens at all, but customers.

The commercialization of sovereignty will make the terms and conditions of citizenship in the nationstate as dated as chivalric oaths seemed after the collapse of feudalism. Instead of relating to a powerful state as citizens to be taxed, the Sovereign Individuals of the twenty-first century will be customers of governments. These governments will be organized along different principles than those which the world has come to expect over the past several centuries.

A new moral vocabulary will be required to describe the relations of Sovereign Individuals with one another and what remains of government. We suspect that as the terms of these new relations come into focus, they will offend many people who came of age as "citizens" of twentieth-century

nationstates. The end of nations and the "denationalization of the individual" will deflate some warmly held notions, such as "equal protection under the law" that presuppose power relations that are soon to be obsolete.

Just as attempts to preserve the power of knights in armor were doomed to fail in the face of gunpowder weapons, so the modern notions of nationalism and citizenship are destined to be short-circuited by microtechnology. Indeed, they will eventually become comic in much the way that the sacred principles of fifteenth-century feudalism fell to ridicule in the sixteenth century. The cherished civic notions of the twentieth century will be comic anachronisms to new generations after the transformation of the year 2000.

The Don Quixote of the twenty-first century will not be a knight-errant struggling to revive the glories of feudalism but a bureaucrat in a brown suit, a tax collector yearning for a citizen to audit.

Transcending Nationality

Before the nationstate, it was difficult to enumerate precisely the number of sovereignties that existed in the world because they overlapped in complex ways and many varied forms of organization exercised power. They will do so again. The dividing lines between territories tended to become clearly demarcated and fixed as borders in the nationstate system. They will become hazy again in the Information Age. In the new millennium, sovereignty will

be fragmented once more. New entities will emerge exercising some but not all of the characteristics we have come to associate with governments.

Some of these new entities may control considerable wealth and military power without controlling any fixed territory. They will be organized on principles that bear no relation to nationality at all. Members and leaders of religious corporations that exercised sovereign authority in parts of Europe in the Middle Ages in no sense derived their authority from national identity. They were of all ethnic backgrounds and professed to owe their allegiance to God, and not to any affinities that members of a nationality are supposed to share in common.

Merchant Republics of Cyberspace

You will also see the reemergence of associations of merchants and wealthy individuals with semisovereign powers, like the Hanse (confederation of merchants) in the Middle Ages. Such entities will reemerge in place of the dying nationstate in the new millennium, providing protection and helping to enforce contracts in an unsafe world.

In short, the future is likely to confound the expectations of those who have absorbed the civic myths of twentieth-century industrial society. Among them are the illusions of social democracy that once thrilled and motivated the most gifted minds.

They presuppose that societies evolve in whatever way

governments wish them to; preferably in response to opinion polls and scrupulously counted votes. This was never as true as it seemed fifty years ago. Now it is an anachronism, as much an artifact of industrialism as a rusting smokestack. The civic myths reflect not only a mindset that sees society's problems as susceptible to engineering solutions; they also reflect a false confidence that resources and individuals will remain as vulnerable to political compulsion in the future as they have been in the twentieth century. We doubt it. Market forces, not political majorities, will compel societies to reconfigure themselves in ways that public opinion will neither comprehend nor welcome. As they do, the naive view that history is what people wish it to be will prove wildly misleading.

It will therefore be crucial that you see the world anew. That means looking from the outside in to reanalyze much that you have probably taken for granted. This will enable you to come to a new understanding. If you fail to transcend conventional thinking at a time when conventional thinking is losing touch with reality, then you will be more likely to fall prey to an epidemic of disorientation that lies ahead. Disorientation breeds mistakes that could threaten your business, your investments, and your way of life.

"The universe rewards us for understanding it and punishes us for not understanding it. When we understand the universe, our plans work and we feel good. Conversely, if we try to fly by jumping off a cliff and flapping our arms, the universe will kill us."